

Buffett astutely noted: “Somebody once said that in looking for people to hire, you look for three qualities: integrity, intelligence, and energy. And if you do not have the first, the other two will kill you. If you hire somebody without integrity, you really want them to be dumb and lazy.”⁷ While this is important in any market, it is critical when investing abroad. Self-interested or conflicted managements can erode the intrinsic value of a security through unfair treatment of minority shareholders. In many countries, boards of directors in family- or state-controlled companies often do not represent the interests of minority shareholders.

In the United States, when a management is incompetent or conflicted, shareholder activism can often force a change. This means that poor management might present an opportunity for value investors, a low-hanging fruit to be plucked as activists force a change in management. In most international markets, whether developed or developing, this is impossible. Attempts by shareholders to replace managements in Japan, Germany, and France have proven futile, just as they have in developing markets. Quality of management is critical when investing internationally. In most international markets, the management you have when you buy a security is almost always the management you will have to live with.

Many international companies are family-controlled, and the interests of the controlling family may diverge from those of minority shareholders. For example, a family might want a depressed share price for an extended period to minimize estate taxes if the death of a patriarch seems imminent. Or controlling shareholders may engage in unethical but not illegal related-party transactions in order to enhance their personal wealth.

⁷ Warren Buffett, Lecture to the University of Florida School of Business, Graham-Buffett Concentration, University of Florida, Gainesville, Florida, October 15, 1998, <https://www.youtube.com/watch?v=2MHlcabnjrA>.